



English Version - GUIDELINES FOR APPLICANTS

CALL FOR PROPOSALS

IDB Lab's Venture Capital Funds Investment Program

GUIDELINES FOR APPLICANTS

1. OBJECTIVE OF THE CALL

IDB Lab¹, the innovation laboratory of the Inter-American Development Bank Group, is one of the most active early-stage fund investors in Latin America and the Caribbean (LAC), having invested in over 110 Venture Capital (VC) funds since 1996. Our current portfolio is composed of over 50 funds, which in turn have invested in over 900 active companies.

Through its investment in VC funds, IDB Lab seeks to contribute to tackling critical barriers for greater development impact and social inclusion with a special focus on poor and vulnerable populations across LAC, bridging key financing gaps in countries, sectors and business models in which there is an unsatisfied demand for investments from early-stage entrepreneurs.

Since 2021, IDB Lab has launched Calls for Proposals for investment management firms seeking IDB Lab's equity financing for Venture Capital funds (including venture debt funds) with focus on Latin America and the Caribbean.

With this sourcing mechanism, aligned with the growth and evolution of the VC industry in the region, IDB Lab looks to expand its outreach of interested fund managers, while adopting a more systematic approach for the selection process.

¹ The Multilateral Investment Fund (known as the "IDB Lab") is administered by the Inter-American Development Bank.

2. CRITERIA FOR ELIGIBILITY OF FUND MANAGERS

KEY ELIGIBILITY REQUIREMENTS. Fund managers who wish to participate in the selection process must comply with the following requirements:

- a) **ALIGNMENT WITH IDB LAB'S INVESTMENT THESIS.** With the goal of expanding the frontiers of VC markets to help close the persistent gaps in early-stage financing in LAC, IDB Lab seeks to invest in VC funds aligned with at least one of the following three approaches:
- **Nascent and Emerging Ecosystems.** Funds investing primarily in nascent or emerging early-stage ecosystems such as Central America, Caribbean, and selected markets in South America -such as Ecuador, Paraguay, Bolivia, and Uruguay ("nascent or emerging ecosystems"). In order to develop local capacity in the above-mentioned ecosystems IDB Lab has the possibility to invest in emerging/first-time fund managers with strong teams, ideally with relevant operational and/or angel/early stage investing experience and strong expertise in local markets, including the use of combined hybrid debt instruments.
 - **Regional Funds.** Funds with a regional strategy, which in addition to targeting more developed early-stage ecosystems, also target nascent or emerging ecosystems in order to promote regional integration and the transfer of knowledge from more mature to emerging VC markets within LAC. Funds led by seasoned managers with a solid VC investment track record that show clear thesis alignments and strong regional networks.
 - **Sector-specific Funds:** Funds specializing in high-impact investments and sectors with pronounced structural capital gaps resulting from unmet demands by early-stage entrepreneurs, such as Health/Biotech, Edtech/Workertech, Agtech/Foodtech and Climate Tech, among others. Fund managers combining deep sectoral expertise, operational and investment track record and undisputed specific technical/scientific expertise.
- b) **GEOGRAPHIC FOCUS.** Mandate must be to invest at least 80% of the fund in companies in Latin America and Caribbean (LAC).
- c) **STAGE OF TARGET INVESTMENTS AND MINIMUM FUND SIZE.** Early-stage investment funds (Pre-seed to Series B investments) with a minimum size of USD 20M. Funds classified under the "**Nascent and Emerging Ecosystems**" investment thesis, require a minimum fund size of USD 10M.
- d) **TEAM.** Qualified management team with:
- Track record or experience in making and managing early-stage investments.
 - Experience and presence in LAC region.
 - Full- or significant-time dedication to the fund.
 - Complementary skills in management team (financial, operational, entrepreneurial, etc.).
 - Expertise in eligible sector-related projects and/or companies.
 - Demonstrated ability to source deals from LAC countries, with a relevant pipeline of potential investments.
 - Presence of at least one female member as a General Partner and/or in the Investment Committee.

- e) **IMPACT MAINSTREAMING AND MEASUREMENT.** Fund manager following a transformational or impact-oriented mission clearly incorporated into the fund's investment strategy.
- f) **GENDER AND DIVERSITY.** Strong commitment or intentions to advance gender and diversity both at the fund manager and portfolio company level.

3. SELECTION PROCESS

SELECTION CRITERIA. The assessment criteria that will be applied for the selection of the fund managers will comprise both qualitative and quantitative attributes that are considered key indicators of the most suitable candidates. Funds must initially meet all the requirements mentioned in Section 2 (Key Eligibility Requirements). In addition, the assessment criteria will consist of an evaluation of the fund characteristics including, but not limited to, the candidate's management team, track record, investment thesis, fund investment terms and governance, development impact and IDB Lab's additionality. The attributes of the fund management team will be looked at holistically and the final candidate will be selected on a consensual basis by a committee of professionals from IDB Lab.

APPLICATION PROCESS. Investment management firms interested in being considered for IDB Lab's investment should apply through the online form and submit the firm's **investment deck**. IDB Lab will consider, among others, the following criteria:

- Management team's track record (individual/as a firm): financial performance, operational experience, sectoral expertise, impact track record, etc.
- Management team's key responsibilities and time commitment to the fund.
- Other investment team members' key qualifications, relevant experience and time commitment to the fund.
- Fund's investment thesis: i) target markets (primary and secondary), ii) focus sectors & rationale/opportunities, iii) stage of target companies, iv) range of investment amounts, v) investment instruments, vi) key areas for value creation, vii) other relevant parameters.
- Fund's impact thesis and measurement. Demonstration of how the fund's investments may have a positive and sustainable impact on: i) vulnerable population's access to essential goods and services, ii) the increased digitalization, productivity and income growth of micro, small and medium sized companies and iii) environmental benefits. Proposed KPIs.
- Fund's approach for gender and diversity. Proposed KPIs.
- Sourcing strategy and indicative pipeline of potential investments.
- Fund's key data, including target size, target dates for first & final closing, fund term/investment period, management fee and carry structure.
- Fund's legal structure/jurisdiction.
- Fund's key governance bodies.
- Cost structure of the management firm estimated annual budget to manage the fund, and compensation structure.
- Fundraising status (committed/due diligence process).

Proposals will be received on a rolling basis. To be considered for the 2027 1st Quarter review, proposals should be submitted by September 30th, 2026.

Link to the application form: <https://airtable.com/apperl6xBpfHml1rE/pag21o5GdCnH9VR4S/form>

REVIEW AND SELECTION PROCESS.

1) INITIAL SCREENING. Each proposal will be reviewed by a committee of professionals from IDB Lab utilizing the above outlined key criteria as well as IDB Lab's internal policies and procedures.

The selection process is very competitive, and IDB Lab may receive proposals from many highly qualified applicants. Regrettably, IDB Lab may not have the capacity to support all the worthy candidates that apply. Those applicants not selected for eligibility and further due diligence review will be notified via email.

2) ELIGIBILITY AND DUE DILIGENCE. A project team will be assigned for those candidate firms selected for further consideration. Upon IDB Lab's internal eligibility, the project team will conduct a comprehensive due diligence (on-site and/or virtual) of each candidate's firm.

3) APPROVAL. Upon the successful completion of due diligence, final approval of the investment will be subject to the decision of IDB Lab's Donors Committee.

Any inquiries related with the Call for Proposals can be directed to: vcfunds@iadb.org

NOTICE AS TO DISCLAIMERS AND RESERVATION OF RIGHTS

This Call for Proposals is not an offer or a contract. In addition, it does not constitute an invitation to invest, solicitation to invest, nor a commitment to invest, including by IDB Lab or any other potential investor in the Fund. IDB Lab or any other potential investors are not advisers, administrators, underwriters or guarantors of the Fund described herein, and their potential roles are limited, respectively, to acting as prospective Limited Partners (IDB Lab along with prospective investors), which is subject to: (a) the Fund being established with the criteria of and key terms to be determined in the Fund's documentation; (b) a due diligence review to determine compliance with each institution's policies and procedures; (c) obtaining internal approvals, including an approval from the IDB Lab Donors Committee, and approval committees of the other investors; and (d) execution and delivery of documentation in form and substance satisfactory to IDB Lab and other investors, in their sole discretion. No representation or warranty, expressed or implied, is made, or responsibility of any kind accepted by, IDB Lab or other investors with respect to the completeness or accuracy of information included herein. Neither IDB Lab or any other investors is under any obligation to consider, shortlist, or select any of the firms/consortia or persons who submit Proposals or other documentation.

Fund managers who participate in the selection process acknowledge that (i) nothing in this call for proposals shall operate to restrict, limit, or defeat any rights, privileges, or immunities granted to the Bank under any treaty, or domestic or international law; and (ii) the Bank has policies against fraud, corruption and other Prohibited Practices (as defined by the Bank). Any finding on the part of the Bank of such Prohibited Practices may result in Sanctions by the Bank and other international organizations, in accordance with the Bank's Sanctions Procedures (for additional information, refer to <https://www.iadb.org/en/who-we-are/transparency/sanctions-system/sanctions-system-key-documents>).

The IDB Lab reserves the right to eliminate participants at any part of the process and this decision shall be final and binding. The IDB Lab may decide to not select an applicant if the submissions did not meet the requirements or did not have sufficient quality.

The IDB Lab may search for publicly available information regarding applicant and may seek to verify details referenced in the application. The IDB Lab reserves the right to cancel the competition at any time.

All decisions of the IDB Lab are final and binding, with no process for appeal.

Applicants that submit content that is offensive, illegal, etc. and those that disparage the IDB Lab or other sponsors will be eliminated.

IDB Lab will not consider participants who are ineligible to participate in Bank projects or contracting under its sanctions protocol.

Applicants must attest that the submittal is original and that they are not infringing on any copyrights or other intellectual property. Any such infringement may result in disqualification.

The IDB Lab will not be responsible to maintain the intellectual property of the proposals submitted. IDB reserves the right to disseminate and share the identity of the applicants and any other information deemed relevant.

These terms and conditions may be updated at any time and will be made available to all participants online.

ANNEX 1. CONFIDENTIALITY.

While applicants may desire to attach confidentiality requirements to some of the information presented in the Proposal, participants making submissions of Proposal or sending follow-up information must understand that information received will be subject to information disclosure requirements of the lead sponsors, and potential investors; for instance, under the Freedom of Information Act of the United States, and the IDB information disclosure policy. The lead sponsors and potential investors will not treat as confidential, or proprietary, any general ideas, strategies and concepts contained within any Proposal or any follow-up documentation submitted.

ANNEX 2. PROHIBITED ACTIVITIES (Exclusion List)

Please follow this link

<https://www.iadb.org/document.cfm?id=EZIDB0000553-29289347-40569>

ANNEX 3. BUSINESS PRACTICES

The General Partner shall request prospectus companies, a written commitment to:

1. Ensure its best efforts to comply with the environmental policy.
2. Have health and safety conditions for employees and contractors.
3. Promote environment protection and an efficient use of natural resources.
4. Have the same condition for all employees in hiring, advancement, compensation and working conditions, regardless of race, gender, color, language, disability, political beliefs, age, religion, social origin or nationality.
5. In accordance with the principles of the International Labor Organization (ILO), enable procedures for consultation and partnerships that provide employees an opportunity to express their views freely, individually and / or collectively, to the administration.
6. Consider the impact of the operation on local communities and strive to ensure that potential harms of occupational health and safety issues are properly evaluated, treated and monitored.
7. Maintain high standards of integrity and honesty in their business and operate in accordance with the country host law (or the country where the investment is made) and good practices (including those designed to fight extortion, bribery and financial crimes).
8. Promote the use of quantified goals for occupational health and safety, environmental and social problems as well as the continuous improvement of the business.
9. Design and operate its business in accordance with local law.
10. Adopt the following minimum employment standards in accordance with internationally accepted good practices:
- Do not use forced labor of any kind; - Do not employ children under fifteen (15) years; - Provide compensation that meet or exceed the industry or the legal minimum and are sufficient to meet basic needs.
11. Record, reporting and review your financial and tax information.
12. Ensure that no payment will be received or made (in the form of compensation, gift, contribution or otherwise) to induce improper or preferential treatment to the company, its management, shareholders, employees or any member of the group of companies to which it belongs.
13. Comply with local regulations on industrial safety and occupational health.
14. Incorporate environmental and social aspects in its internal and external communication strategy

